

Anti-Money Laundering and Counter-Terrorist Financing Policy

Meridian Commercial Bank - Version 4.2 - Synthetic Sample

SYNTHETIC DEMONSTRATION DOCUMENT. This text was written for the AgentTrace sample corpus and is not an official publication of any regulator or bank. Figures and clause numbers are illustrative.

1. Purpose and Governance

This Policy sets out how Meridian Commercial Bank meets its obligations under applicable anti-money laundering law and the Master Direction on Know Your Customer Norms. It applies to every business line, every branch, and every employee, contractor and agent acting on behalf of the Bank.

The Board of Directors owns this Policy and reviews it at least annually. The Chief Compliance Officer is the designated Principal Officer and reports functionally to the Board Audit Committee, with a direct right of escalation that does not pass through business line management.

Every employee completes mandatory AML training within thirty days of joining and annually thereafter. Staff in customer-facing and transaction monitoring roles complete an extended curriculum twice a year. Training completion is a condition of the annual performance rating.

2. Customer Acceptance

The Bank shall not open an account where the identity of the applicant cannot be verified against an Officially Valid Document, where the applicant is unwilling to disclose the beneficial owner, or where the applicant appears on any sanctions list applicable to the Bank.

The Bank shall not establish or maintain any relationship with a shell bank, being a bank incorporated in a jurisdiction in which it has no physical presence and which is unaffiliated with a regulated financial group.

Accounts in fictitious names, numbered accounts, and anonymous accounts of any kind are prohibited without exception.

Applications from Politically Exposed Persons, from non-resident customers in high risk jurisdictions, and from customers in cash-intensive businesses require the written approval of the Chief Compliance Officer before the account is activated.

3. Customer Due Diligence Procedure

For account-based relationships, full Customer Due Diligence is performed before the first transaction is permitted. For occasional transactions, Customer Due Diligence is triggered at the regulatory threshold of Rupees 50,000 for a single transaction or for several transactions that appear to the Bank to be linked.

The Bank applies a conservative internal trigger of Rupees 40,000 for occasional transactions in branches designated as high risk by the annual risk assessment. This internal trigger is stricter than the regulatory threshold and does not replace it.

Beneficial ownership is established for every non-individual customer. For a company, the beneficial owner is the natural person who holds more than ten per cent of the shares or capital or profits. For a partnership, the threshold is fifteen per cent. For a trust, the settlor, the trustees, the protector and the beneficiaries are all identified.

Where no natural person is identified under the ownership tests above, the natural person holding the position of senior managing official is recorded as the beneficial owner, and the reason is documented.

4. Transaction Monitoring

All transactions are screened by the Bank's automated monitoring system against behavioural rules calibrated quarterly. Alerts are queued to the Financial Crime Operations team and must receive a first-level disposition within two business days.

Alerts that are not closed at first level are escalated to a Level 2 analyst, who has ten business days to reach a documented conclusion. Cases escalated to the Principal Officer must be concluded within thirty days of the original alert.

The following patterns are configured as mandatory alert triggers: structuring of cash deposits below the reporting threshold; a sudden increase in account turnover inconsistent with the declared profile; rapid movement of funds in and out of an account leaving a negligible balance; and transactions with counterparties in jurisdictions subject to counter-measures.

Monitoring rule changes require sign-off from both the Chief Compliance Officer and the Head of Model Risk, and every change is version-controlled with a documented rationale and a back-test against the preceding six months of transaction data.

5. Reporting Obligations

Suspicious Transaction Reports are filed with the Financial Intelligence Unit within seven working days of the internal conclusion that a transaction is suspicious. The Principal Officer is the sole authorised signatory for these reports.

Cash Transaction Reports are filed for all cash transactions exceeding Rupees 10,00,000, and for all series of integrally connected cash transactions exceeding that amount in a calendar month. These are filed by the fifteenth day of the succeeding month.

Counterfeit Currency Reports are filed for every instance of forged or counterfeit currency detected, irrespective of value, within seven working days of detection.

Cross-Border Wire Transfer Reports are filed for all incoming and outgoing international wire transfers where the value exceeds Rupees 5,00,000.

Employees are strictly prohibited from informing a customer, or any person other than those with an operational need to know, that a report has been filed or that an account is under review. Breach of this prohibition is treated as gross misconduct.

6. Sanctions Screening

Every customer is screened against applicable sanctions lists at onboarding, on every list update, and on a full portfolio rescreening performed at least monthly. All outgoing and incoming payments are screened in real time before release.

A confirmed match results in an immediate freeze of the relevant funds or economic resources, notification to the competent authority within one working day, and a prohibition on any further transaction without written authority.

Screening thresholds and fuzzy-matching tolerances are reviewed every six months. The Bank does not reduce a matching tolerance below the level validated in the most recent independent model validation without Board Audit Committee approval.

7. Record Retention and Audit

Customer identification records are retained for five years after the relationship ends. Transaction records are retained for five years from the date of the transaction. Records relating to a filed Suspicious Transaction Report are retained for ten years from the date of filing.

The Internal Audit function performs an independent review of AML controls annually, and the results are reported directly to the Board Audit Committee without prior review by the business lines being audited.

An independent external assessment of the Bank's AML programme is commissioned once every three years, and the findings, together with a dated remediation plan, are placed before the Board.

8. Consequences of Breach

Failure by an employee to follow this Policy is a disciplinary matter and may result in termination of employment, in addition to any personal liability arising under applicable law.

Where a control failure results in a regulatory penalty, the Bank conducts a root cause analysis within forty-five days and reports the findings and the remediation plan to the Board Audit Committee.

The Bank does not indemnify employees against personal penalties imposed by a regulator for wilful breach of this Policy.